

## PLYMOUTH CORDAGE COMPANY (000 OMITTED)

| Date or year ended Sept. 30: | Inventory figures           |                         |                                         | Net earnings for year      |                           |                                    |
|------------------------------|-----------------------------|-------------------------|-----------------------------------------|----------------------------|---------------------------|------------------------------------|
|                              | Before reserve <sup>1</sup> | After company's reserve | After normal-stock reserve <sup>2</sup> | Before reserve adjustments | After reserve adjustments |                                    |
|                              |                             |                         |                                         |                            | As made by company        | As required by normal-stock method |
| 1929                         | \$8,059                     | \$7,110                 | \$4,297                                 |                            |                           |                                    |
| 1930                         | 6,008                       | 6,008                   | 4,367                                   | \$658( <i>d</i> )          | \$288                     | \$1,463                            |
| 1931                         | 4,011                       | 4,011                   | 3,292                                   | 25                         | 25                        | 943                                |
| 1932                         | 3,150                       | 3,150                   | 3,102                                   | 233( <i>d</i> )            | 233( <i>d</i> )           | 444                                |
| 1933                         | 3,473                       | 3,143                   | 3,238                                   | 486                        | 157                       | 294                                |
| 1934                         | 5,144                       | 4,471                   | 4,722                                   | 619                        | 276                       | 432                                |
| 1935                         | 4,030                       | 3,358                   | 3,503                                   | 475                        | 475                       | 370                                |
| 1936                         | 5,191                       | 4,193                   | 4,193                                   | 892                        | 466                       | 320                                |
| 1937                         | 5,315                       | 3,291                   | 3,291                                   | 1,195                      | 269                       | 269                                |
| 1938                         | 4,849                       | 3,877                   | 3,877                                   | 1,066( <i>d</i> )          | 9( <i>d</i> )             | 9( <i>d</i> )                      |
| 1939                         | 4,635                       | 3,457                   | 3,457                                   | 336                        | 130                       | 130                                |
| Average 10 years             |                             |                         |                                         | \$207                      | \$184                     | \$466                              |

<sup>1</sup> At lower of cost or market.

<sup>2</sup> 1929–1935 figures supplied us by courtesy of Plymouth Cordage Co.

Our table indicates how the normal-stock method would have worked out if it had been followed through the decade, as compared with the results actually reported. The most significant fact is that the normal-stock technique would have reduced the earnings fluctuations greatly and also have resulted in far higher aggregate earnings for the period. The reason for the latter point is that the results as published absorb a considerable shrinkage of the Sept. 30, 1929, inventory, in addition to the reserve provided on that date. These figures suggest that Plymouth Cordage would have made an excellent exhibit during the depression years 1930–1932 if the normal-stock method had been in effect at that time. (*Cf.* our analysis on pp. 627–628, based on the published reports.) Note also the relatively small variation in net inventory after normal-stock reserve, as compared with the unadjusted figures.

## NOTE 50

Between Jan. 1, 1929, and Jan. 31, 1933, Interstate Department Stores, Inc., acquired 30,000 shares of its common stock at an average cost of \$20.62 per share. On the latter date it wrote this stock down to \$5 per share on its books by